



SPONSOR: Sen. Mantzavinos & Sen. Walsh & Rep. K. Johnson
Reps. Burns, Morrison, Snyder-Hall

DELAWARE STATE SENATE
153rd GENERAL ASSEMBLY

SENATE BILL NO. 196

AN ACT TO AMEND TITLE 16 OF THE DELAWARE CODE RELATING TO LONG-TERM CARE FACILITIES.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

1 Section 1. Amend Chapter 11, Title 16 of the Delaware Code by making deletions as shown by strike through and
2 insertions as shown by underline as follows:

3 § 1102. Definitions.

4 () “Affiliate” means a person, as defined in § 302 of Title 1, who directly or indirectly through 1 or more
5 intermediaries, controls or is controlled by, or is under common control with, a specified entity or person.

6 () “Facility Owner” means the person that owns a long-term care facility and must include all the following
7 information:

8 a. All owners of the facility and the percentage ownership of each person.

9 b. All owners and controlling persons of an entity or non-publicly traded corporation that owns the
10 facility.

11 § 1108. Posting of inspection summary and other information and public meetings.

12 (e) A long-term care facility must disclose, in the manner and form determined by the Department, the Facility
13 Owner of the long-term care facility, including all controlling persons of an entity or affiliate that is not a publicly traded
14 corporation.

15 (f) The Department shall publish the disclosed information of the current Facility Owner, including any controlling
16 persons, of each long-term care facility on the Department’s website.

17 (g) A long-term care facility must prominently and conspicuously post the current Facility Owner of the long-term
18 care facility, including any controlling persons of any non-publicly traded entity with ownership stake in the facility, on the
19 long-term care facility’s website and on any advertising, marketing, or promotional materials.

20 § 1108A. Required disclosure for transfer of ownership.

21 (a) A person assuming ownership of a long-term care facility must disclose to the Department, in the manner and
22 form determined by the Department, information related to any other licensed long-term care facilities owned by the person
23 assuming ownership of the long-term care facility, including:

24 (1) Any licensed long-term care facility owned, operated, or managed by the person, or any affiliates of
25 the person, in any state or territory of the United States or in the District of Columbia in the preceding year.

26 (2) Any enforcement actions imposed during the preceding year against any facility owned, operated, or
27 managed by the person or the person's affiliates in any jurisdiction.

28 (b) At least 60 days before the transfer of ownership, the person assuming ownership of a long-term care facility
29 must disclose to each current resident of the long-term care facility and, if applicable, each authorized representative of a
30 current resident of the long-term care facility the following information:

31 (1) The name of the new facility owner.

32 (2) Any licensed long-term care facility owned, operated, or managed by the person, or any affiliates of
33 the person, in any state or territory of the United States or in the District of Columbia in the preceding year.

34 (3) Any enforcement actions imposed during the preceding year against any facility owned, operated, or
35 managed by the person or the person's affiliates in any jurisdiction.

36 (c) The Department may delay or deny licensure to a person assuming ownership of a long-term care facility if the
37 Department determines, based on information provided under this section or through independent verification, that the
38 person or their affiliates have a pattern of serious violations or enforcement actions that raise concerns about their ability to
39 operate a facility in compliance with state and federal law.

SYNOPSIS

This Act requires long-term care facilities to fully disclose ownership information for the facility and disclose ownership information to residents prior to the transfer of ownership of a facility.

Author: Senator Mantzavinos